

Earnings review: 1Q26 GM beat; growth edging higher on sustained AI demand; TP at NT\$2,750, reiterate Buy (on CL)

2330.TW	12m Price Target: NT\$2,750.00	Price: NT\$2,085.00	Upside: 31.9%
TSM	12m Price Target: \$550.00	Price: \$375.10	Upside: 46.6%

Incrementally better outlook amid strong AI momentum
TSMC hosted its 1Q26 analyst meeting on April 16. 1Q26 GM came in higher vs. the high-end of guidance and GSe/cons., supported by higher UTR and continued productivity improvement. Management also raised 2026 revenue growth (in USD terms) to above 30% YoY (vs. close to 30% YoY previously), driven by strong leading edge demand from AI. On a longer-term basis, TSMC now sees AI revenue growth to approach higher 50s% CAGR in 2024-2029, with CSP demand outlook remaining solid. Overall, we slightly tweak up TSMC 2026-2028E revenue growth (in USD terms) to 35%/30%/31% YoY, reflecting a marginally better growth outlook.

Elevated capex as capacity build-out accelerates
Another key highlight of the meeting was capex, where management now expects 2026 full-year capex to be closer to the high-end of its previous US\$52-56bn guidance, and TSMC is speeding up clean room construction and equipment pull-in to support robust multi-year demand. This is largely inline with our previous view, and we continue to model 2026E capex at US\$56bn, with total capex over 2026-2028E to reach US\$200bn.

GM expansion remains intact despite near-term headwinds
TSMC’s 2Q26 GM guidance of 66.5% (at the mid-point) came in higher than GSe/cons. of 65.4%/64.1%, supporting our previous view that “above 60% GM” is the new norm. Although N2 ramp and higher chemical costs are expected to dilute margin in 2H26, we continue to anticipate TSMC’s GM to improve structurally, driven by productivity gain, higher UTR, and product mix shift toward AI/HPC.

BUY CL

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Key Data

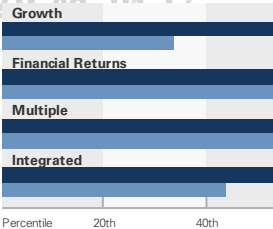
Market cap: NT\$54.1tr / \$1.7tr
Enterprise value: NT\$51.2tr / \$1.6tr
3m ADTV: NT\$75.4bn / \$2.4bn
Taiwan

GS Forecast

	12/25
Revenue (NT\$ mn) New	3,809,054.3
Revenue (NT\$ mn) Old	3,809,054.3
EBITDA (NT\$ mn)	2,624,188.0
EPS (NT\$) New	66.26
EPS (NT\$) Old	66.26
P/E (X)	17.6
P/B (X)	5.6
Dividend yield (%)	1.9
CROCI (%)	24.3

	12/25
EPS (NT\$)	19.51

GS Factor Profile



2330.TW relative to Asia ex. Japan Cc
2330.TW relative to Taiwan Semicon

Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	17.6	21.5	16.7	12.4
P/B (X)	5.6	7.4	5.5	4.0
FCF yield (%)	3.3	3.0	4.0	6.4
EV/EBITDAR (X)	10.8	13.9	10.4	7.4
EV/EBITDA (excl. leases) (X)	10.8	13.9	10.4	7.4
CROCI (%)	24.3	31.8	34.8	39.3
ROE (%)	35.4	39.4	37.8	37.6
Net debt/equity (%)	(34.3)	(38.9)	(43.5)	(51.4)
Net debt/equity (excl. leases) (%)	(34.3)	(38.9)	(43.5)	(51.4)
Interest cover (X)	99.1	167.4	335.0	932.9
Days inventory outst, sales	27.6	21.2	19.9	17.7
Receivable days	26.6	20.7	16.4	13.3
Days payable outstanding	157.7	161.9	159.6	163.4
DuPont ROE (%)	31.5	34.2	32.9	32.6
Turnover (X)	0.5	0.5	0.6	0.6
Leverage (X)	1.5	1.3	1.2	1.2
Gross cash invested (ex cash) (NT\$)	9,199,168.9	10,831,249.3	12,871,264.7	14,990,380.8
Average capital employed (NT\$)	3,371,689.3	4,037,343.9	5,025,618.6	6,027,091.9
BVPS (NT\$)	208.99	282.31	379.30	515.37

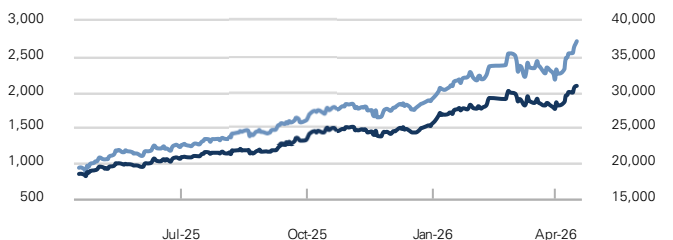
Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	31.6	37.9	29.7	30.6
EBITDA growth	32.2	40.7	30.2	33.0
EPS growth	46.4	46.1	29.1	34.5
DPS growth	29.4	22.7	14.8	12.9
EBIT margin	50.8	56.3	56.5	58.4
EBITDA margin	68.9	70.3	70.6	71.9
Net income margin	45.1	47.8	47.6	49.0

Price Performance

2330.TW (NT\$)

Taiwan SE Weighted Index



	3m	6m	12m
Absolute	19.8%	40.4%	143.9%
Rel. to the Taiwan SE Weighted Index	1.4%	4.5%	27.9%

Source: FactSet. Price as of 16 Apr 2026 close.

Income Statement (NT\$ mn)

	12/25	12/26E	12/27E	12/28E
Total revenue	3,809,054.3	5,254,033.6	6,815,428.5	8,902,725.9
Cost of goods sold	(1,527,760.3)	(1,846,208.1)	(2,408,395.5)	(2,979,936.8)
SG&A	(98,775.0)	(119,819.0)	(149,996.0)	(188,596.0)
R&D	(246,427.3)	(330,028.0)	(407,028.0)	(531,028.0)
Other operating inc./.(exp.)	-	-	-	-
EBITDA	2,624,188.0	3,693,372.9	4,810,161.1	6,399,197.8
Depreciation & amortization	(688,096.4)	(735,394.4)	(960,152.1)	(1,196,032.6)
EBIT	1,936,091.7	2,957,978.5	3,850,009.0	5,203,165.1
Net interest inc./.(exp.)	86,206.5	81,851.7	91,531.5	96,379.0
Income/(loss) from associates	5,496.6	0.0	0.0	-
Pre-tax profit	2,041,662.8	3,051,654.4	3,941,540.5	5,299,544.1
Provision for taxes	(326,266.1)	(539,584.6)	(698,767.2)	(939,750.8)
Minority interest	2,485.8	(1,284.0)	(1,284.0)	(1,284.0)
Preferred dividends	-	-	-	-
Net inc. (pre-exceptionals)	1,717,882.6	2,510,785.8	3,241,489.3	4,358,509.3
Post-tax exceptionals	-	-	-	-
Net inc. (post-exceptionals)	1,717,882.6	2,510,785.8	3,241,489.3	4,358,509.3
EPS (basic, pre-exception) (NT\$)	66.26	96.82	125.00	168.07
EPS (diluted, pre-exception) (NT\$)	66.26	96.82	125.00	168.07
EPS (basic, post-exception) (NT\$)	66.26	96.82	125.00	168.07
EPS (diluted, post-exception) (NT\$)	66.26	96.82	125.00	168.07
DPS (NT\$)	22.00	27.00	31.00	35.00
Div. payout ratio (%)	33.2	27.9	24.8	20.8

Balance Sheet (NT\$ mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	2,767,856.4	3,457,929.9	4,578,756.8	6,969,653.5
Accounts receivable	282,059.2	314,413.7	298,082.4	348,853.9
Inventory	288,109.5	322,428.7	419,450.1	444,061.1
Other current assets	479,105.8	479,105.8	479,105.8	479,105.8
Total current assets	3,817,130.8	4,573,878.1	5,775,395.1	8,241,674.3
Net PP&E	3,691,840.9	4,738,968.5	6,006,276.0	7,164,502.9
Net intangibles	24,952.6	16,310.7	7,851.1	(608.6)
Total investments	172,370.4	172,370.4	172,370.4	172,370.4
Other long-term assets	226,729.2	226,729.2	226,729.2	226,729.2
Total assets	7,933,023.9	9,728,256.8	12,188,621.6	15,804,668.2
Accounts payable	714,546.9	923,020.2	1,182,694.9	1,484,761.3
Short-term debt	0.0	-	-	-
Short-term lease liabilities	-	-	-	-
Other current liabilities	743,472.4	743,472.4	743,472.4	743,472.4
Total current liabilities	1,458,019.3	1,666,492.7	1,926,167.3	2,228,233.8
Long-term debt	896,062.0	596,062.0	296,062.0	96,062.0
Long-term lease liabilities	-	-	-	-
Other long-term liabilities	118,147.3	118,147.3	118,147.3	118,147.3
Total long-term liabilities	1,014,209.3	714,209.3	414,209.3	214,209.3
Total liabilities	2,472,228.6	2,380,702.0	2,340,376.6	2,442,443.1
Preferred shares	-	-	-	-
Total common equity	5,419,596.0	7,320,941.6	9,836,217.8	13,364,784.0
Minority interest	41,199.3	26,613.2	12,027.1	(2,558.9)
Total liabilities & equity	7,933,023.9	9,728,256.8	12,188,621.6	15,804,668.2
Net debt, adjusted	(1,871,794.4)	(2,861,867.9)	(4,282,694.8)	(6,873,591.5)

Cash Flow (NT\$ mn)

	12/25	12/26E	12/27E	12/28E
Net income	1,717,882.6	2,510,785.8	3,241,489.3	4,358,509.3
D&A add-back	688,096.4	735,394.4	960,152.1	1,196,032.6
Minority interest add-back	(2,485.8)	1,284.0	1,284.0	1,284.0
Net (inc)/dec working capital	98,731.8	141,799.6	178,984.6	226,684.0
Other operating cash flow	(227,249.3)	0.0	0.0	-
Cash flow from operations	2,274,975.6	3,389,263.7	4,381,910.0	5,782,509.9
Capital expenditures	(1,272,410.5)	(1,773,880.0)	(2,219,000.0)	(2,345,800.0)
Acquisitions	-	-	-	-
Divestitures	-	-	-	-
Others	128,017.1	-	-	-
Cash flow from investing	(1,144,393.4)	(1,773,880.0)	(2,219,000.0)	(2,345,800.0)
Repayment of lease liabilities	-	-	-	-
Dividends paid (common & pref)	(440,851.8)	(609,440.2)	(726,213.0)	(829,943.1)
Inc/(dec) in debt	40,448.1	(300,000.0)	(300,000.0)	(200,000.0)
Other financing cash flows	(89,949.1)	(15,870.1)	(15,870.1)	(15,870.1)
Cash flow from financing	(490,352.9)	(925,310.3)	(1,042,083.1)	(1,045,813.2)
Total cash flow	640,229.4	690,073.5	1,120,826.9	2,390,996.7
Free cash flow	1,002,565.1	1,615,383.7	2,162,910.0	3,436,709.9

upside, we reiterate our Buy rating on TSMC (on CL).

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Key highlights from earnings call

Exhibit 1: TSMC financial snapshot

TSMC (2330.TW)	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	25-28E CAGR
P&L (NT\$bn)											
Revenue (US\$bn)	34.7	45.6	56.9	75.9	69.3	90.1	122.4	165.9	215.0	280.8	31.9%
%YoY	1.9%	31.6%	24.7%	33.3%	-8.7%	30.0%	35.9%	35.5%	29.6%	30.6%	
Revenue	1,070	1,339	1,587	2,264	2,162	2,894	3,809	5,254	6,815	8,903	32.7%
%YoY	3.7%	25.2%	18.5%	42.6%	-4.5%	33.9%	31.6%	37.9%	29.7%	30.6%	
Gross profit	493	711	820	1,348	1,175	1,624	2,281	3,408	4,407	5,923	37.4%
%GM	46.0%	53.1%	51.6%	59.6%	54.4%	56.1%	59.9%	64.9%	64.7%	66.5%	
EBIT	373	567	650	1,121	921	1,322	1,936	2,958	3,850	5,203	39.0%
%OpM	34.8%	42.3%	40.9%	49.5%	42.6%	45.7%	50.8%	56.3%	56.5%	58.4%	
Net income	345	518	597	1,017	838	1,173	1,718	2,511	3,241	4,359	36.4%
%YoY	-1.7%	50.0%	15.2%	70.4%	-17.5%	39.9%	46.4%	46.2%	29.1%	34.5%	
EPS (NT\$)	13.3	20.0	23.0	39.2	32.3	45.3	66.3	96.8	125.0	168.1	36.4%

Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

2026 guidance raise on stronger AI demand

TSMC has raised its 2026 full-year guidance to above 30% YoY (in USD terms), up from close to 30% YoY previously, supported by sustained strength in AI. Management cited that AI continued to stimulate leading-edge silicon demand with CSP providing a very strong outlook over the next several years. TSMC is also planning to set up three new N3 fabs across Tainan, Arizona, and Japan, which we believe are targeted to support multi-year demand primarily for AI/HPC customers. From a longer-term perspective, management now sees revenue growth from AI accelerators to be closer to higher-50s% CAGR over 2024-2029, as robust growth in token consumption driven by ongoing AI model usage keeps silicon demand ahead of supply. Overall, with N3 UTR remaining tight amid productivity gains and new capacity expansion, we are now modeling TSMC's revenue (in USD terms) to grow by 35.5%/29.6%/30.6% YoY (vs. 35.1%/30.0%/29.0% YoY previously).

Capex trending higher with rapid capacity expansion

TSMC now expects its 2026E capex to trend towards the higher-end of its US\$52-56bn guidance, reflecting sustained demand from AI/HPC and ongoing efforts to pull in equipment and build clean rooms to alleviate tight supply conditions. The company reiterated that demand remains robust across leading-edge nodes, with supply expected to stay tight given the 2-3yr lead time required for fab construction and ramp. More importantly, management also reiterated that capex over the next three years will be significantly higher than the prior three-year total (~US\$110bn), suggesting a continued step-up in investment, albeit with revenue growth still expected to outpace capex growth. Overall, we maintain our TSMC 2026E capex forecast at US\$56bn, and we expect the total capex over the next three years (2026-2028E) to reach US\$200bn.

GM to structurally improve despite near term headwinds

Both TSMC's 1Q26 GM of 66.2% and 2Q26 GM guidance of 66.5% (at the mid point) came in above GSe and cons., supported by higher utilization, cost improvement, and more favorable FX. While we believe this supports our previous view of higher structural GM, we do expect to see some near-term GM headwinds to emerge in 2H26, including dilution from N2 ramp up, which is expected to dilute full-year GM by 2-3%, and higher chemical cost (e.g., Helium) due to geopolitical uncertainties in the Middle East. However, we believe these factors are largely offset by stronger-than-expected productivity gains, higher overall utilization, favorable FX, as well as N3 GM

improvement, with N3 GM now expected to cross corporate average GM in 2H26. Net net, we now model TSMC's GM to reach 64.9%/64.7%/66.5% in 2026-2028E (vs. 64.2%/64.8%/66.5% previously).

Raising our CoWoS forecast

We are raising our CoWoS estimates for 2027-2028E to reflect stronger-than-expected AI demand with increasing AI chip volume and growth in chip package size. While both AI GPUs and AI ASICs are seeing volume growth, larger chip size alongside more complex chiplet-based architecture are structurally supporting CoWoS demand. Overall, we revise up our CoWoS capacity forecast to 2,490k/3,150k wafers in 2027/2028E (vs. 2,310k/3,060k previously), representing 95%/27% YoY growth. For shipment, we are now modeling CoWoS shipment to reach 2,342k/3,074k wafers in 2027/2028E (vs. 2,171k/2,808k previously), representing 96%/31% YoY increase (see [Exhibit 6](#) & [Exhibit 7](#)).

Exhibit 2: TSMC's revenue growth outlook

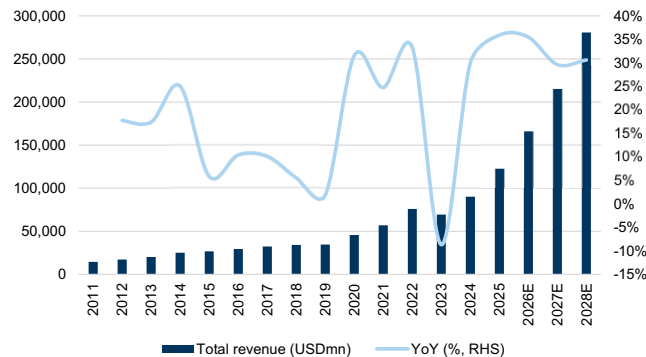


Exhibit 3: TSMC's margin outlook

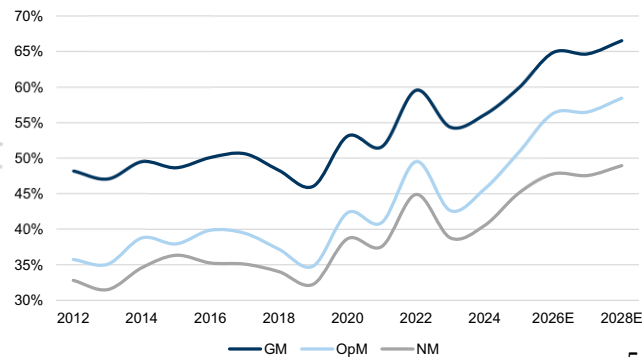
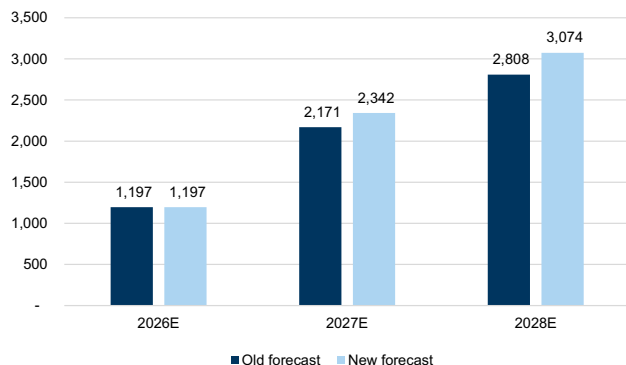
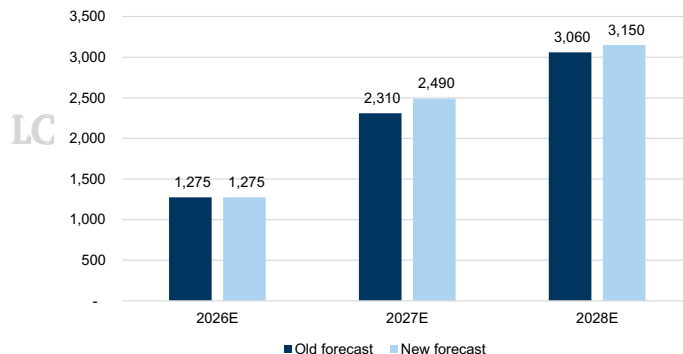


Exhibit 6: TSMC's annual CoWoS shipment (k wafers)



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 7: TSMC's annual CoWoS capacity (k wafers)



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 8: TSMC's quarterly CoWoS capacity ramp (kwpm)

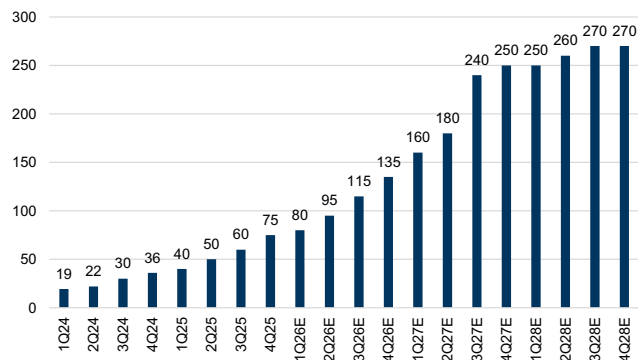
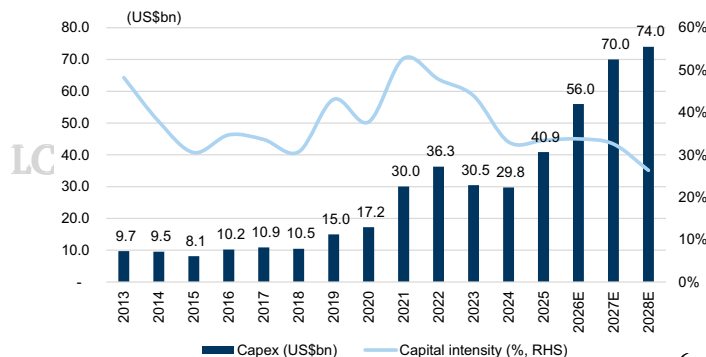


Exhibit 9: TSMC's capex and capital intensity trend



1Q26 results and 2Q26 guidance recap

2Q26 GM guidance better than expected

For 2Q26, management guided revenue to be in the range of US\$39.0-40.2bn (+10% QoQ at midpoint; based on FX [TWD/USD] of 31.7), GM in the range of 65.5-67.5%, and OpM in the range of 56.5-58.5%. 2Q26 revenue guidance came in stronger vs. GSe of 8.6% QoQ growth (in USD terms), supported by continuous strong demand in leading-edge process technology from robust AI demand. GM guidance also came in higher than GSe/cons. of 65.4%/64.1%, primarily driven by higher UTR and continue productivity gain.

1Q26 results higher vs. GSe and consensus

1Q26 revenue of NT\$1,134.1bn (or US\$35.90bn) was up by 6.4% QoQ and 40.6% YoY, came in higher vs. TSMC's guidance (in USD terms) and BBG consensus. EPS of NT\$22.08 was up by 13.2% QoQ and 58.2% YoY, and also came in above GSe/BBG consensus. On margins, GM (66.2%, +392bps QoQ/+746bps YoY) and OpM (58.1%; +410bps QoQ/+960bps YoY) both came in better than GSe and cons., which we attribute to the company's further improvement in cost control, higher UTR, better operating leverage, and more favorable FX.

Exhibit 10: 1Q26 results summary

(NT\$m)	1Q26	4Q25	1Q25	%QoQ	%YoY	GS prev.	%Diff	Consensus	%Diff
Revenue	1,134,103	1,046,090	839,254	8.4%	35.1%	1,145,796	-1.0%	1,123,220	1.0%
Gross profit	751,295	651,987	493,395	15.2%	52.3%	750,557	0.1%	724,016	3.8%
Op. income	658,966	564,902	407,081	16.7%	61.9%	652,473	1.0%	623,816	5.6%
Net income	572,480	505,744	361,564	13.2%	58.3%	560,149	2.2%	540,200	6.0%
EPS (NT\$)	22.08	19.51	13.95	13.2%	58.2%	21.60	2.2%	20.89	5.7%
GM	66.2%	62.3%	58.8%	3.9%	7.5%	65.5%	0.7%	64.5%	2.8%
OpM	58.1%	54.0%	48.5%	4.1%	9.6%	56.9%	1.2%	55.5%	4.6%
NM	50.5%	48.3%	43.1%	2.1%	7.4%	48.9%	1.6%	48.1%	5.0%

Earnings revisions, valuation and key risks

Forecast changes

Post its earnings results, we raise our 2026/2027/2028E EPS by 1.7%/0%/1.7% to reflect 1) stronger 1Q26 results, 2) higher GM guidance, and 3) incrementally better AI demand outlook.

Exhibit 11: Earnings revisions 订阅研报添加微信 LCD123321Cad 04-17

(NT\$mnn)	2026E			2027E			2028E		
	Old	New	Diff (%)	Old	New	Diff (%)	Old	New	Diff (%)
Revenue	5,220,311	5,254,034	0.6%	6,773,919	6,815,428	0.6%	8,737,634	8,902,726	1.9%
Gross profit	3,350,220	3,407,825	1.7%	4,386,902	4,407,033	0.5%	5,810,996	5,922,789	1.9%
Op. income	2,908,384	2,957,978	1.7%	3,837,066	3,850,009	0.3%	5,112,860	5,203,165	1.8%
Net income	2,469,887	2,510,786	1.7%	3,241,566	3,241,489	0.0%	4,287,115	4,358,509	1.7%
EPS (NT\$)	95.24	96.82	1.7%	125.00	125.00	0.0%	165.32	168.07	1.7%
GM	64.2%	64.9%	0.7%	64.8%	64.7%	-0.1%	66.5%	66.5%	0.0%
OpM	55.7%	56.3%	0.6%	56.6%	56.5%	-0.2%	58.5%	58.4%	-0.1%
NM	47.3%	47.8%	0.5%	47.9%	47.6%	-0.3%	49.1%	49.0%	-0.1%

(NT\$mnn)	2Q26E			3Q26E			4Q26E		
	Old	New	Diff (%)	Old	New	Diff (%)	Old	New	Diff (%)
Revenue	1,232,897	1,252,876	1.6%	1,384,733	1,391,816	0.5%	1,456,886	1,475,239	1.3%
Gross profit	806,264	849,080	5.3%	873,394	877,913	0.5%	920,006	929,538	1.0%
Op. income	698,180	735,074	5.3%	757,810	758,407	0.1%	799,922	805,532	0.7%
Net income	576,957	605,822	5.0%	648,460	646,231	-0.3%	684,321	686,253	0.3%
EPS (NT\$)	22.25	23.36	5.0%	25.01	24.92	-0.3%	26.39	26.46	0.3%
GM	65.4%	67.8%	2.4%	63.1%	63.1%	0.0%	63.1%	63.0%	-0.1%
OpM	56.6%	58.7%	2.0%	54.7%	54.5%	-0.2%	54.9%	54.6%	-0.3%
NM	46.8%	48.4%	1.6%	46.8%	46.4%	-0.4%	47.0%	46.5%	-0.5%

Source: Goldman Sachs Global Investment Research

Exhibit 12: TSMC’s P&L summary

	1Q26E	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2026E	2027E	2028E
P&L (NT\$mnn)											
Revenue	1,134,103	1,252,876	1,391,816	1,475,239	1,515,752	1,646,918	1,799,866	1,852,893	5,254,034	6,815,428	8,902,726
Gross profit	751,295	849,080	877,913	929,538	979,103	1,068,661	1,164,337	1,194,932	3,407,825	4,407,033	5,922,789
Operating profit	658,966	735,074	758,407	805,532	852,597	934,155	1,020,331	1,042,926	2,957,978	3,850,009	5,203,165
Net income	572,480	605,822	646,231	686,253	726,085	765,155	865,445	884,804	2,510,786	3,241,489	4,358,509
EPS (NT\$)	22.08	23.36	24.92	26.46	28.00	29.51	33.37	34.12	96.82	125.00	168.07

Margins (%)											
Gross margin	66.2%	67.8%	63.1%	63.0%	64.6%	64.9%	64.7%	64.5%	64.9%	64.7%	66.5%
Operating profit margin	58.1%	58.7%	54.5%	54.6%	56.2%	56.7%	56.7%	56.3%	56.3%	56.5%	58.4%
Net margin	50.5%	48.4%	46.4%	46.5%	47.9%	46.5%	48.1%	47.8%	47.8%	47.6%	49.0%

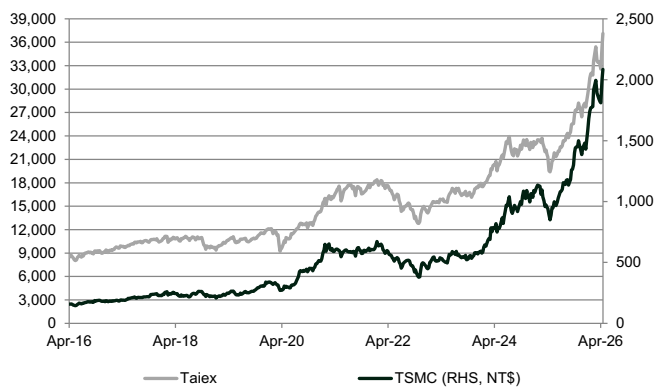
YoY (%)											
Revenue	35.1%	34.2%	40.6%	41.0%	33.7%	31.5%	29.3%	25.6%	37.9%	29.7%	30.6%
Gross profit	52.3%	55.1%	49.2%	42.6%	30.3%	25.9%	32.6%	28.6%	49.4%	29.3%	34.4%
Operating profit	61.9%	58.6%	51.5%	42.6%	29.4%	27.1%	34.5%	29.5%	52.8%	30.2%	35.1%
Net income	58.3%	52.1%	42.9%	35.7%	26.8%	26.3%	33.9%	28.9%	46.2%	29.1%	34.5%
EPS	58.2%	52.1%	42.9%	35.6%	26.8%	26.3%	33.9%	28.9%	46.1%	29.1%	34.5%

QoQ (%)											
Revenue	8.4%	10.5%	11.1%	6.0%	2.7%	8.7%	9.3%	2.9%			
Gross profit	15.2%	13.0%	3.4%	5.9%	5.3%	9.1%	9.0%	2.6%			
Operating profit	16.7%	11.5%	3.2%	6.2%	5.8%	9.6%	9.2%	2.2%			
Net income	13.2%	5.8%	6.7%	6.2%	5.8%	5.4%	13.1%	2.2%			
EPS	13.2%	5.8%	6.7%	6.2%	5.8%	5.4%	13.1%	2.2%			

premium of 20%. Our 22x target P/E multiple is also benchmarked to TSMC’s trading average of 22x during its previous revenue upcycle where its 3-year revenue CAGR (2019-2021) was 28%, vs. our 3-year revenue CAGR at 32% during 2026-2028E.

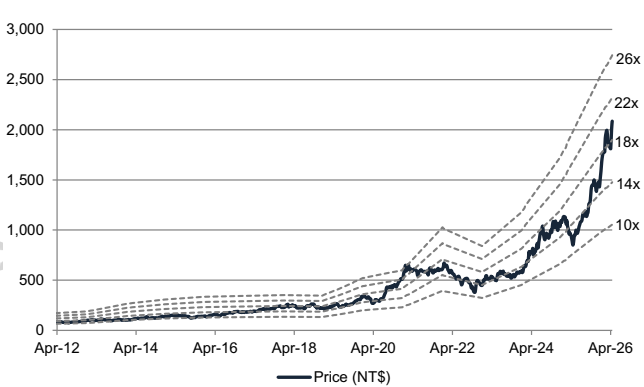
Our TP implies 32% (ADR 47%) upside to the last close. As a result, we reiterate our Buy ratings for TSMC/ADR, which are on the APAC Conviction List. We maintain our ~~raising our view on TSMC~~ long-term growth outlook as we believe the company’s We are raising our CoWoS estimates for 2027-2028E to reflect i. peers to capture the industry’s long-term structural growth opportunities, especially in AI.

Exhibit 13: Taiex vs. TSMC



Source: Bloomberg

Exhibit 14: Forward P/E



Source: Bloomberg

Exhibit 15: Forward P/B

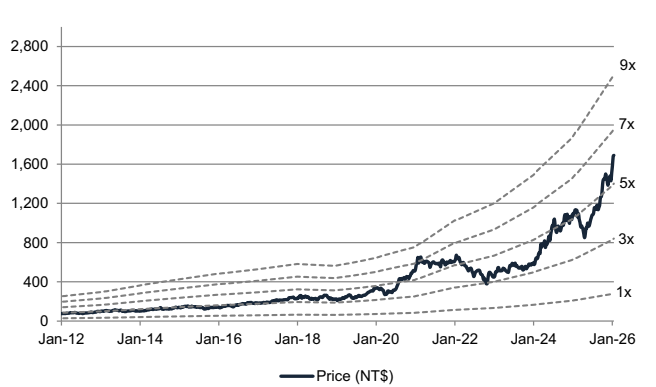
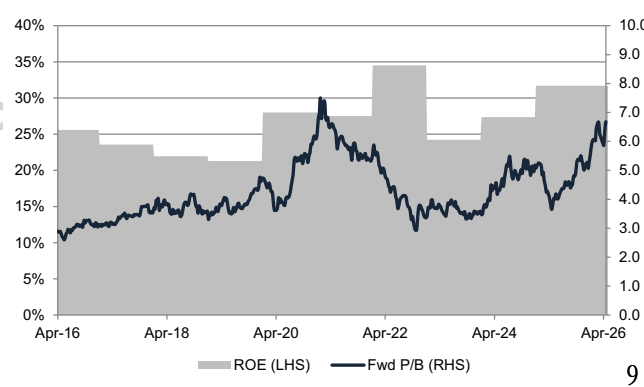


Exhibit 16: P/B vs. ROE



Investment Thesis - TSMC (2330.TW/TSM)

TSMC is a leading global foundry company specializing in cutting-edge nodes. Its leading technology stance enables it to enjoy more than 60% of revenue share in the global foundry market. We like TSMC as we believe its solid technology leadership and execution better position it vs. peers to capture the industry's long-term structural growth opportunities, particularly in areas such as AI/5G/HPC/EV. In addition, valuation looks attractive in our view, with the shares trading at the mid-range of their 10-year trading history (P/E: 10-29x). Furthermore, we view TSMC as the key AI enabler among our Taiwan Semis coverage, thanks to its leadership stance in leading edge nodes and advanced packaging technology - CoWoS (chip on wafer on substrate). We believe TSMC will achieve its 25% revenue CAGR target for the next several years, driven primarily by increasing silicon content growth and AI/HPC demand, with LT GM to remain at 56%+. We are Buy rated.

Price Target Risks and Methodology - TSMC (2330.TW/TSM)

Valuation methodology: We have a 12m TP of NT\$2,750, which is derived by applying a target P/E multiple of 22x to our 2027E EPS. Our 22x target P/E is benchmarked against 1.0stdv above its 5-year trading average. For the ADR (TSM), we have a 12m TP of US\$550, based on a USD/TWD rate of 30.0 and an ADR premium of 20%.

Key downside risks to our views: (1) further deterioration in end-demand recovery impacting capacity utilization; (2) slower customer node migrations; (3) slowdown in AI investment resulting in lower long-term semiconductor content growth; (4) poor yields/execution resulting in worse-than-expected profitability; (5) stronger competition resulting in ASP/profitability erosion; and (6) unfavorable FX trend or higher-than-expected cost increase weighing on the margin outlook.